ACC501

Final Term (Live Quiz)

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Question 1

For preparing pro forma financial statements, we need to estimate all of the following quantities EXCEPT:

- Administration cost per unit ☑
- Unit sales
- Selling price per unit
- Variable cost per unit

Question 2

Which one of the following is a non-cash item?

- Sales
- Depreciation ☑
- Purchases
- Inventory

Question 3

If there is zero depreciation, taxes, and fixed costs of the project, the operating cash flows for the project would always be the same as:

- EBIT ☑

- Sales
- Net working capital
- Future cash flows

Question 4

What will be the cash inflow if we have sales of Rs. 400,000 and accounts receivable are decreased by Rs. 70,000?

- Rs. 470,000 ✅
- Rs. 230,000
- Rs. 330,000
- Rs. 70,000

Question 5

Dividend received on stocks held by an investor is called:

- Capital yield
- Income yield ✅
- Total profit
- Total return

Question 6

Which one of the following formulas can be used to calculate Operating Cash Flow (OCF) under the tax shield approach?

- OCF = (sales – cost) x (1 + tax rate) + (depreciation x tax rate)
- OCF = (sales + cost) x (1 – tax rate) + (depreciation x tax rate)
- OCF = (sales – cost) x (1 – tax rate) + (depreciation x tax rate) ✅
- OCF = (sales – cost) x (1 – tax rate) – (depreciation x tax rate)

Question 7

Preferred stock is a hybrid security because it possesses the features of both _____ and _____.

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- Treasury bills; Bonds
- Preferred stock; Debt
- Common stock; Treasury bills
- Common stock; Debt ✅

Question 8

Which one of the following represents a cash outflow?

- Increase in payables
- Increase in inventory ✅
- Increase in long-term debt
- Increase in receivables

Question 9

A set of possible values that a random variable can assume and their associated probabilities of occurrence are referred to as:

- Probability distribution ✅
- Coefficient of variation
- The standard deviation
- The expected return

Question 10

Expected new sales due to the introduction of a diet version of an existing beverage results in a decline in the sale of the existing beverage. This is an example of:

- Cannibalism ✅
- Opportunity cost
- Financing cost
- Sunk cost

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Question 1: An investment will be _____ if the IRR doesn't exceed the required return and _____ otherwise.

- ✗ Accepted; rejected
- ☑ Rejected; accepted
- ✗ Rejected; rejected
- ✗ Accepted; accepted

Question 2: Which one of the following costs refers to an outlay that has already occurred and hence is not affected by the decision under consideration?

- ☑ Sunk
- ✗ Opportunity
- ✗ Variable
- ✗ Fixed

Question 3: Which of the following equation is correct for calculating the operating cash flows?

- ✗ EBIT – Depreciation – Taxes
- ☑ EBIT + Depreciation – Taxes
- ✗ EBIT – Depreciation + Taxes
- ✗ EBIT + Depreciation + Taxes

Question 4: A set of possible values that a random variable can assume and their associated probabilities of occurrence are referred to as:

- ✗ The expected return
- ✗ Coefficient of variation
- ✗ The standard deviation
- ☑ Probability distribution

Question 5: Which one of the following is NOT considered under MACRS of depreciation?

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- ✗ Historical cost value
- ✗ Depreciable value
- ✗ Book value
- ☑ Salvage value

Question 6: The weighted average cost of capital of a firm is the weighted average of the _____.

- ✗ Cost of preferred stock
- ✗ Cost of debt
- ☑ All of the given options
- ✗ Cost of common equity

Question 7: Based upon AAR technique, a project is acceptable if:

- ✗ Target average accounting return exceeds average accounting return
- ✗ Target average accounting return equal to average accounting return
- ☑ Average accounting return exceeds target average accounting return
- ✗ Average accounting return equal to target average accounting return

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Question 8: _____ paid by corporation is tax deductible but _____ paid are not tax deductible.

- ✗ Dividend; interest
- ✗ None of the given options
- ☑ Interest; dividend
- ✗ Bonus; interest

Question 9: Standard deviations for Investment A and Investment B are 15% and 32% respectively. This indicates that:

- ✗ Investment A is equally volatile to Investment B

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- ✗ Investment A is more volatile than Investment B
- ✗ Investment B is less volatile than Investment A
- ☑ Investment B is more volatile than Investment A

Question 10: If you have Rs. 30 in asset A and Rs. 120 in another asset B, the weights for assets A and B will be ____ and ____ respectively.

- ☑ 20%; 80%
- ✗ 63%; 37%
- ✗ 37%; 63%
- ✗ 80%; 20%

Question 1:
Suppose the initial investment for a project is Rs. 16 million and the cash flows are Rs. 4 million in the first year and Rs. 9 million in the second and Rs. 5 million in the third. The project will have a payback period of:

- A) 4.1 Years
- B) 3.7 Years ☑
- C) 3.1 Years
- D) 2.6 Years

Question 2:
What would be the payback period of a project which requires Rs. 80,000 as initial investment and has cash flows of Rs. 30,000, 40,000 and 45,000 in first, second and third year respectively?

- A) 2.22 years ☑
- B) 3.22 years
- C) 2 years
- D) 3 years

Question 3:
Which of the following security represents the ownership interest in the firm?

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- A) All of the given options
- B) Equity ✅
- C) Bond
- D) Debt

Question 4:
Which of the following is the most common capital budgeting technique?

- A) Payback Period
- B) Profitability Index
- C) Net Present Value ✅
- D) Internal Rate of Return

Question 5:
A bondholder has a right to redeem the bond at par on the coupon payment date after some specified period of time. This right is called:

- A) Put provision
- B) Correct answer is not given
- C) Call option
- D) Call provision ✅

Question 6:
Which of the following type of bond pays no coupon at all and are offered at a price that is much lower than its stated value?

- A) Floating-rate bonds
- B) Government bonds
- C) Euro bonds
- D) Zero coupon bonds ✅

Question 7:
Which of the following capital budgeting technique is used by the financial management to increase the share value of the company?

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- A) IRR
- B) Payback period
- C) NPV ✅
- D) PI

Question 8:
Which of the following is NOT an important feature of treasury notes and bonds?

- A) Highly liquid
- B) Least liquid ✅
- C) Default free
- D) Taxable

Question 9:
A _____ covenant limits or prohibits actions that company might take.

- A) Negative ✅
- B) None of the given options
- C) Neutral
- D) Positive

Question 10:
While calculating the present value of bond, which of the following rate is used for discounting purpose?

- A) Market required rate ✅
- B) Coupon Rate
- C) Use that rate which is lower of both (coupon and market rate)
- D) You can use either coupon rate or market rate
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- Question #1: Preemptive right of a shareholder means:
-
- ✕ Right to share proportionately in assets remaining after liabilities at liquidation

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- ☑ Right to share proportionately in any new stock sold
- ✕ Right to vote on matter of great importance
- ✕ Right to share proportionately in dividend paid
- Question #2: Which of the following is NOT a shortcoming of Payback Rule?
-
- ✕ Time value of money is ignored
- ☑ None of the given options
- ✕ Simple and easy to calculate
- ✕ It fails to consider risk differences
- Question #3: Which of the following has the voting right in the firm?
-
- ✕ Preferred shareholder
- ✕ All of the given options
- ✕ Bondholder
- ☑ Shareholder
- Question #4: Which of the following dividend growth model is used for calculating the total return?
-
- ✕ R= Do/Po + g
- ✕ R= D1/Po - g
- ☑ R= D1/Po + g
- ✕ R= Do/Po - g
- Question #5: When corporations borrow, they generally promise to:
-
- ✕ I, III, and IV
- ☑ I and III
- ✕ I and II

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- ✕ II and IV
- Question #6: With respect to voting, if, at particular time, only a fraction of directorship is up for election, such voting is called as:
-
- ✕ Cumulative voting
- ☑ Staggering
- ✕ Straight voting
- ✕ Proxy voting
- Question #7: What would be the payback period of a project which requires Rs. 80,000 as initial investment and has cash flows of Rs. 30,000, 40,000 and 45,000 in first, second and third year respectively?
-
- ✕ 3.22 years
- ☑ 2.22 years
- ✕ 2 years
- ✕ 3 years
- Question #8: Investors demand a higher yield as compensation to the risk of possible default. This extra premium is called:
-
- ✕ Taxability premium
- ✕ Inflation risk premium
- ✕ Interest rate risk premium
- ☑ Default risk premium
- Question #9: Which one of the following statements is INCORRECT regarding Bond Price Theorems?
-
- ☑ When the market's required return of a bond is greater than the coupon rate, the bond's market value will be greater than its par value.
- ✕ Bond prices and market interest rates move in the opposite directions.

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- ✕ When the market's required return of a bond is less than the coupon rate, the bond's market value will be greater than its par value.
- ✕ When a bond's coupon rate is greater than the market's required return, the bond's market value will be greater than its par value.
- Question #10: Which one of the following statements is INCORRECT regarding a broker?
-
- ✕ Matching investors wishing to buy and sell securities
- ☑ An agent who buy and sell securities from a maintained inventory
- ✕ An agent who do not buy or sell securities for their own
- ✕ An agent who arranges security transactions among investors

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Question 1: Which of the following is NOT a determinant of term structure?

Real rate of interest

Interest rate risk

Internal rate of interest ✓

Expected inflation

Question 2: Which of the following option shows the two correct components of required rate of return?

Dividend & stock price (Po)

Dividend & growth rate

Dividend yield & stock price (Po)

Dividend yield & growth rate ✓

Question 3: Which of the following is NOT included in a bond indenture?

A description of the security

A personal profile of the issuer ✓

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The basic terms of bond issue

The total amount of bonds issued

Question 4: The market price of a Rs. 1,000-face value bond is Rs. 1,000. What will be the yield to maturity if there is a coupon payment of Rs. 90 for 5 years?

Greater than 9%

Equal to 9% ✓

Cannot be determined with the given information

Lower than 9%

Question 5: Expectation of a _____ inflation rate will push long term interest rates _____ than short term rates reflected by an upward term structure.

Lower; higher

Higher; lower

Higher; higher ✓

None of the given options

Question 6: Which of the following capital budgeting technique ignores the concept of "Time Value of Money"?

NPV

PI

Pay back period ✓

IRR

Question 7: In which type of the market, securities are originally sold to the investors?

None of the given options

Primary Market ✓

Secondary Market

Tertiary Market

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Question 8: Preemptive right of a shareholder means:

Right to share proportionately in any new stock sold ✓

Right to vote on matter of great importance

Right to share proportionately in dividend paid

Right to share proportionately in assets remaining after liabilities at liquidation

Question 9: All of the following securities are also called debt securities EXCEPT:

Bonds

Notes

Debentures

Shares ✓

Question 10: Treasury notes and bonds are examples of which of the following types of bonds?

Zero coupon bonds

Euro bonds

Floating-rate bonds

Government bonds ✓

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ABC Company has estimated average net income of Rs. 500,000 on the assets having average book value of Rs. 2,500,000 used in its newly planned commercial project. Determine the project's AAR.

20% ✓

25%

30%

35%

Which one of the following is a non-cash item?

Sales

Depreciation ✓

Purchases

Inventory

Mr. Nadeem has bought 100 shares of a corporation one year ago at Rs. 22 per share. Over the last year, he received a dividend of Rs. 2.50 per share. At the end of the year, the stock sells for Rs. 28. As per given information, what will be the capital gains yield?

15.85%

45.00%

25.10%

27.27% ✓

Internal Rate of Return (IRR) is sometimes referred to as:

Economic Rate of Return ✓

Compound Interest Rate

Required Rate of Return

Simple Interest Rate

All of the following are the drawbacks of Average Accounting Return (AAR) EXCEPT:

No objective base to compare with

It focuses on net income and book value

It ignores time value of money

It focuses on cash flow and market value ✓

Which of the following is (are) a non-cash item(s)?

Depreciation ✓

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Expenses

All of the given options

Revenue

Which of the following statement is TRUE regarding Average Accounting Return?

An investment is acceptable if its AAR is less than a benchmark AAR

AAR is a rate that makes the NPV equal to zero

None of the given options

An investment is acceptable if its AAR is greater than a benchmark AAR ✓

Dividend received on stocks held by an investor is called:

Income yield ✓

Total Return

Capital yield

Total profit

If you have Rs. 30 in asset A and Rs. 120 in another asset B, the weights for assets A and B will be ____ and ____ respectively.

63%; 37%

80%; 20%

37%; 63%

20%; 80% ✓

Total portfolio risk is equal to:

systematic risk plus diversifiable risk ✓

systematic risk plus non-diversifiable risk

systematic risk plus market risk

unsystematic risk plus diversifiable risk

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Question 1: Which of the following set of cash flows represent the change in the firm's total cash flow that occurs as direct result of accepting the project?

Incremental Cash Flows ✓

Relevant Cash Flows

All of the given options

Negative Cash Flows

Question 2: A set of possible values that a random variable can assume and their associated probabilities of occurrence are referred as:

The standard deviation

Probability distribution ✓

Coefficient of variation

The expected return

Question 3: Dividend received on stocks held by an investor is called:

Total Return

Total profit

Income yield ✓

Capital yield

Question 4: A firm's equity is worth 4 million and its debt is worth 2 million. What is the percentage of firm's financing that is equity?

33%

20%

67% ✓

40%

Question 5: Tax adjustment is generally required for which of the following costs?

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Cost of common equity

Cost of preferred stock

Cost of retained earnings

Cost of debt ✓

Question 6: Which of the following is NOT included in discounted cash flow criteria for capital budgeting decision?

Internal Rate of Return

Profitability Index

Net Present Value

Payback Period ✓

Question 7: An investment will be _____ if the IRR doesn't exceeds the required return and _____ otherwise.

Accepted; accepted

Accepted; rejected

Rejected; rejected

Rejected; accepted ✓

Question 8: Which of the following best describes dividend yield?

It tells that how much tax is paid for each unit invested in a company's shares

It tells that how much tax is paid on each unit deposited in a broker account

It tells that how much income is earned for each unit invested in a company's shares ✓

It tells that how much interest is earned on each unit deposited in a broker account

Question 9: What will be the weighted average cost of capital if a firm's capital structure has 55% debt and 45% common equity; while, after-tax cost for debt is 8% and the cost of common equity is 15%?

10.54 %

10.40 % ✓

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9.91 %

11.15 %

Question 10: Increase in price of stocks held by an investor is called:

Total Return

Total profit

Income yield

Capital yield ✓

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Which one of the following securities is considered as equity security?

Debentures

Shares ☑

Notes

Bonds

A _____ covenant limits or prohibits actions that company might take.

Neutral

Positive

Negative ☑

None of the given options

Which of the following option shows the two correct components of required rate of return?

Dividend yield & stock price (Po)

Dividend & stock price (Po)

Dividend yield & growth rate ☑

Dividend & growth rate

Which of the following is the most common capital budgeting technique?

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Payback Period

Internal Rate of Return

Profitability Index

Net Present Value ✅

What will be the price per share if there is a current dividend of Rs. 4.75, required rate of return of 12% and growth rate of 5%?

Rs. 43.52

Rs. 71.25 ✅

Rs. 30.19

Rs. 56.53

The projected cash flows from a project are:

Year 1: Rs. 100

Year 2: Rs. 300

Year 3: Rs. 400

Year 4: Rs. 800

The Project cost is Rs. 800. What would be the payback period for the project?

3.00 Years ✅

2.67 Years

3.67 Years

2.00 Years

When real rate is _____, all interest rates will tend to be _____.

Low; higher

High; lower

High; higher ✅

None of the given options

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In which type of the market, previously issued securities are traded among investors?

Tertiary Market

None of the given options

Primary Market

Secondary Market ✅

One would be indifferent between taking and not taking the investment when:

NPV is less than Zero

All of the given options

NPV is greater than Zero

NPV is equal to Zero ✅

Which of the following bond can be swapped for a fixed number of shares at any time before maturity at the holder's option?

Convertible bond ✅

Income Bond

Put bond

Zero-coupon bond

Question 1: Mr. Aslam owns 100 shares of a company and there are four directors to be elected. How much votes Mr. Aslam would have as per cumulative voting procedure?

- A) 400 votes ✓
- B) 100 votes
- C) 200 votes
- D) 300 votes

Question 2: With respect to voting, if, at particular time, only a fraction of directorship is up for election, such voting is called as:

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- A) Cumulative voting
- B) Proxy voting
- C) Staggering ✓
- D) Straight voting

Question 3: Which of the following is the credit rating agency in Pakistan?

- A) PACRA ✓
- B) All of the given options
- C) Moody's
- D) Standard and Poor's

Question 4: Which of the following short-term rating by PACRA denotes a strong capacity for timely repayment?

- A) A1 ✓
- B) A3
- C) A1+
- D) A2

Question 5: Which one of the following statements is CORRECT regarding call provision?

- A) Allows holder to return bonds to company more than its par value
- B) Allows company to sell bonds more than it par value at any time
- C) Refers to the difference between stated price of bond and call price
- D) Allows company to repurchase bond at stated price over a specified period ✓

Question 6: If the dividend for a share is growing at a steady rate then which of the following formula(s) can be used to find the dividend in two periods?

- A) D2 = Do x (1 + g)2
- B) D2 = [Do x (1 + g)] (1 + g)
- C) D2 = D1 x (1 + g)

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- D) All of the given options ✓

Question 7: Over the past four years, a company has paid dividends of Rs. 1.00, 1.10, 1.20 and 1.30 in Year 1, 2, 3 and 4 respectively. The same pattern is expected to continue in the future as well. This is an example of a company paying dividends that grows by:

- A) At a decreasing rate
- B) 10 percent each year
- C) At a constant rate ✓
- D) A decreasing amount

Question 8: Which of the following is an example of positive covenant?

- A) Restricting pledging assets to other lenders
- B) Barring merger with another firm
- C) Maintaining any collateral or security in good condition ✓
- D) Limiting the amount of dividend according to some formula

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Question 9: Which of the following is NOT a determinant of term structure?

- A) Internal rate of interest ✓
- B) Expected inflation
- C) Real rate of interest
- D) Interest rate risk

Question 10: Preferred stock is similar to debt as both: I. frequently carry credit ratings.
II. can be callable.
III. receive a stated payment amount.
IV. are considered debt instruments.

- A) I, II, and III only ✓
- B) I and III only
- C) II, III, and IV only
- D) II and IV only

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While performing the feasibility analysis for a project, an operating cash flow of Rs. 500,000 has been calculated. Net working capital has declined by Rs. 45,000. There was no capital spending during the year. What will be the total cash flow for the project?

- Rs. 545,000 ✔
- Rs. 315,000
- Rs. 200,000
- Rs. 455,000

Suppose currently risk-free investments are offering 12% whereas the particular investment is offering 18%. What is the risk premium?

- 8%
- 12%
- 30%
- 6% ✔

Total portfolio risk is equal to:

- systematic risk plus non-diversifiable risk
- systematic risk plus market risk
- systematic risk plus diversifiable risk ✔
- unsystematic risk plus diversifiable risk

Which of the following objective(s) may lead a firm towards the usage of payback period technique to evaluate its projects?

- All of the given options ✔
- If the firm wishes to avoid projects that require a large amount of research and development.
- If the firm wishes to accept projects with high degree of liquidity.
- If the firm wishes to avoid the higher forecasting errors associated with cash flow a long way into the future.

Standard deviations for Investment A and Investment B are 25% and 12% respectively. This indicates that:

- Investment A is more volatile than Investment B ✔
- Investment B is equally volatile to Investment A

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- Investment A is less volatile than Investment B
- Investment B is more volatile than Investment A

Which one of the following costs refers to an outlay that has already occurred and hence is not affected by the decision under consideration?

- Sunk ✔
- Fixed
- Variable
- Opportunity

Which of the following rate makes the Net Present Value (NPV) equal to zero?

- Average Accounting Return (AAR)
- Weighted Average Cost of Capital (WACC)
- Required Rate of Return (RRR)
- Internal Rate of Return (IRR) ✔

Which of the following statement is TRUE regarding Average Accounting Return?

- AAR is a rate that makes the NPV equal to zero
- An investment is acceptable if its AAR is greater than a benchmark AAR ✔
- None of the given options
- An investment is acceptable if its AAR is less than a benchmark AAR

Which of the following is a measure of accounting profit relative to the book value?

- Average Accounting Return ✔
- Profitability Index
- Internal Rate of Return
- Net Present Value

The next dividend (D1) for a company is Rs. 5 per share. The stock current price is Rs. 50 per share. What will be the cost of capital if the dividends are estimated to grow steadily at 5%?

- 13%
- 16%
- 14%

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- 15% ✔

Suppose currently risk-free investments are offering 12% whereas the particular investment is offering 18%. What is the risk premium?

- o | 6% ✔
- o | 12%
- o | 30%

Autos and Computers falls under which one of the following MACRS property classes?

- o | 5-Year ✔
- o | 7-Year
- o | 3-Year
- o | 10-Year

A project having non-conventional cash flows is actually a characteristics of:

- o | NPV
- o | AAR
- o | IRR ✔

The next dividend (D1) for a company is Rs. 5 per share. The stock current price is Rs. 50 per share. What will be the cost of capital if the dividends are estimated to grow steadily at 5%?

- o | 16%
- o | 14%
- o | 13%
- o | 15% ✔

While performing the feasibility analysis for a project, an operating cash flow of Rs. 500,000 has been calculated. Net working capital has declined by Rs. 45,000. There was no capital spending during the year. What will be the total cash flow for the project?

- o | Rs. 315,000
- o | Rs. 545,000 ✔
- o | Rs. 455,000

Internal Rate of Return (IRR) is sometimes referred to as:

- o | Economic Rate of Return ✔

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- o | Compound Interest Rate
- o | Required Rate of Return
- o | Simple Interest Rate

 An investment should be accepted if the Net Present Value (NPV) is:

- o | Negative; negative
- o | Positive; negative
- o | Positive; positive ✔
- o | Negative; positive

 Which of the following rate makes the Net Present Value (NPV) equal to zero?

- o | Internal Rate of Return (IRR) ✔
- o | Average Accounting Return (AAR)
- o | Weighted Average Cost of Capital (WACC)
- o | Required Rate of Return (RRR)

 Which of the following can be calculated if average net income is divided by average book value?

- o | AAR ✔
- o | IRR
- o | Payback period

 What will be the cash inflow if we have sales of Rs. 400,000 and accounts receivable are decreased by Rs. 70,000?

- o | Rs. 230,000
- o | Rs. 470,000 ✔
- o | Rs. 330,000
- o | Rs. 70,000

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1. What will be the present value of receiving Rs. 5,000 per year forever from an investment with an opportunity cost of 10%?

Options:

- Rs. 50,000

- Rs. 40,000

- Rs. 5,000

- Rs. 25,000

Correct Answer: Rs. 50,000

2. All of the following securities are also called debt securities EXCEPT:

Options:

- Debentures

- Notes

- Bonds

Correct Answer: Notes

3. Net Present Value (NPV) technique, which is used to discount the company's future cash flows, is actually a type of:

Options:

- Loan acquiring technique

- Stock evaluation technique

- Cash collection technique

- Capital budgeting technique

Correct Answer: Capital budgeting technique

4. Which of the following is NOT the responsibility of a bond trustee?

Options:

- Manage the sinking fund

- Make sure the terms of the indenture are obeyed

- Announcement of dividend

- Represent the bondholders in default

Correct Answer: Announcement of dividend

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5. Between two identical bonds having different coupon rates, the price of the _____ bond will change less than that of the _____ bond.

Options:

- Lower-coupon; higher-coupon
- Higher-coupon; lower-coupon
- Long-term; short-term

Correct Answer: Higher-coupon; lower-coupon

6. Which of the following is the credit rating agency in Pakistan?

Options:

- Standard and Poor's
- Moody's
- All of the given options
- PACRA

Correct Answer: PACRA

7. Bond value may fluctuate with the change in _____.

Options:

- Interest rate
- Coupon value
- Inflation
- GDP

Correct Answer: Interest rate

8. Which of the following(s) is/are the forms of repayment of principle and interest pattern(s)?

Options:

- Interest-only Loans
- All of the given options
- Pure Discount Loans

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- Amortized Loans

Correct Answer: All of the given options

9. A borrower is able to pay Rs. 40,000 in 5 years. Given a discount rate of 12 percent, what amount of money should the lender lend?

Options:

- Rs. 18,256
- Rs. 14,186
- Rs. 22,697
- Rs. 28,253

Correct Answer: Rs. 18,256

10. Which of the following relationships holds TRUE if a bond sells at a discount?

Options:

- Bond Price > Par Value and YTM > coupon rate
- Bond Price < Par Value and YTM > coupon rate
- Bond Price < Par Value and YTM < coupon rate
- Bond Price > Par Value and YTM < coupon rate

Correct Answer: Bond Price < Par Value and YTM > coupon rate

1. Which of the following dividend growth models is used for calculating the total return?

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-

-

-

A) R = Do/Po - g

B) R = D1/Po - g

C) R = D1/Po + g

- D) R = Do/Po + g
- Correct Option: B) R = D1/Po - g

2. Preemptive right of a shareholder means:

- A) Right to share proportionately in any new stock sold
- B) Right to share proportionately in assets remaining after liabilities at liquidation
- C) Right to share proportionately in dividend paid
- D) Right to vote on a matter of great importance
- Correct Option: A) Right to share proportionately in any new stock sold

3. Which of the following short-term ratings by PACRA denotes a strong capacity for timely repayment?

- A) A1+
- B) A1
- C) A2
- D) A3
- Correct Option: A) A1+

4. If the required rate of return is lesser than the coupon rate, the bond will be valued at:

- A) Discount
- B) None of the given options
- C) Premium
- D) Par value

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- Correct Option: C) Premium

5. Which one of the following statements is INCORRECT regarding bonds?

- A) Bond with lower coupon rate is less sensitive to change in the discount rate

B) Bond with longer period is more sensitive to change in the discount rate

C) Bond with higher coupon rate is less sensitive to change in the discount rate

D) Bond with shorter period is less sensitive to change in the discount rate

- Correct Option: B) Bond with longer period is more sensitive to change in the discount rate

6. Which of the following is the credit rating agency in Pakistan?

- A) Moody's

- B) All of the given options

- C) PACRA

- D) Standard and Poor's

- Correct Option: C) PACRA

7. All of the following securities are also called debt securities EXCEPT:

- A) Debentures

- B) Shares

- C) Notes

- D) Bonds

- Correct Option: B) Shares

8. Between the two identical bonds having different coupons, the price of the _____ bond will change less than that of the _____ bond.

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- A) Long-term; short-term

- B) None of the given options

- C) Lower-coupon; higher-coupon - D) Higher-coupon; lower-coupon

- Correct Option: D) Higher-coupon; lower-coupon

9. If the required rate of return is greater than the coupon rate, the bond will be valued at:

- A) Par value

B) Discount

C) Premium

D) None of the given options

- Correct Option: B) Discount

10. Which of the following relationships holds TRUE if a bond sells at a discount?

- A) Bond Price > Par Value and YTM > coupon rate

- B) Bond Price < Par Value and YTM < coupon rate

- C) Bond Price > Par Value and YTM < coupon rate

- D) Bond Price < Par Value and YTM > coupon rate

- Correct Option: D) Bond Price < Par Value and YTM > coupon rate

1. Which of the following bond allows the holder to force the issuer to buy the bond back at a stated price?

Options:

A) Put bond

B) Income Bond

C) Zero-coupon bond

D) Convertible bond

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Correct Option: A) Put bond

2. Which of the following is a characteristic of preferred stock?

Options:

A) These stocks have not any kind of priority over common stocks

B) Dividends on these stocks can be cumulative

C) These stocks have not stated liquidating value

D) These bonds hold credit ratings quite different from bonds

Correct Option: B) Dividends on these stocks can be cumulative

3. One would be indifferent between taking and not taking the investment when:

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Options:

A) All of the given options

B) NPV is greater than Zero

C) NPV is less than Zero

D) NPV is equal to Zero

Correct Option: D) NPV is equal to Zero

4. The price of a Rs. 1,000-face value bond is Rs. 910. What will be the yield to maturity if there is a coupon payment of Rs. 90 for 6 years?

Options:

A) Equal to 9%

B) Lower than 9%

C) Greater than 9%

D) Cannot be determined without more information

Correct Option: C) Greater than 9%

5. Which one of the following typically applies to preferred stock but not to common stock?

Options:

A) Voting rights

B) Dividend yield

C) Tax deductible dividends

D) Cumulative dividends

Correct Option: D) Cumulative dividends

6. A grant of authority which gives one entity or person the authority to vote for another. This refers to which of the following voting procedures?

Options:

A) Proxy

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B) Staggering

C) Cumulative

D) Straight

Correct Option: A) Proxy

7. Which of the following security represents the ownership interest in the firm?

Options:

A) All of the given options

B) Debt

C) Equity

Correct Option: C) Equity

8. ABC Company issues 5 year bonds having following characteristics:

Rs. 1,000 face value, initial price Rs. 497 and yield to maturity is 15%.

Bonds issued by ABC Company falls under which one of the following type of bonds?

Options:

A) Floating-rate bonds

B) Zero coupon bonds

C) Convertible bonds

D) Government bonds

Correct Option: B) Zero coupon bonds

9. Which one of the following terms refers to the risk arises for bond owners from fluctuating interest rates?

Options:

A) Inflation Risk

B) Interest Rate Risk

C) Real-Time Risk

D) Fluctuations Risk

Correct Option: B) Interest Rate Risk

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10. All of the following securities are also called debt securities EXCEPT:

Options:

A) Shares

B) Bonds

C) Debentures

D) Notes

Correct Option: A) Shares

1. What will be the value of a Rs. 1,000 face-value bond with an 8% coupon rate at an 8% required rate of return?

Options:

- A. Cannot be determined without more information

- B. Less than its face value

- C. More than its face value

- D. Equal to its face value

Correct Answer: D (Equal to its face value)

2. ABC Company issued two types of bonds having the same maturity period but different coupon rates. Which one of the following statements is TRUE in this situation?

Options:

- A. Change in interest rate does not affect when the maturity period is the same

- B. Bond with a lower coupon rate is less sensitive to change in the discount rate

- C. Bond with a higher coupon rate is less sensitive to change in the discount rate

- D. Bond with higher coupon rates is more sensitive to change in the interest rate

Correct Answer: B (Bond with a lower coupon rate is less sensitive to change in the discount rate)

3. In which type of the market, previously issued securities are traded among investors?

Options:

- A. Secondary Market

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- B. Primary Market

- C. None of the given options

- D. Tertiary Market

Correct Answer: A (Secondary Market)

4. Which of the following is NOT included in a bond indenture?

Options:

- A. A personal profile of the issuer

- B. The total amount of bonds issued

- C. The basic terms of the bond issue

- D. A description of the security

Correct Answer: A (A personal profile of the issuer)

5. ABC Corporation has two shareholders; Mr. Aamir with 50 shares and Mr. Imran with 70 shares. Both want to be elected as one of the four directors but Mr. Imran doesn't want Mr. Aamir to be director. How many votes would Mr. Aamir be able to cast as per the cumulative voting procedure?

Options:

- A. 280

- B. 70

- C. 200

- D. 120

Correct Answer: A (280)

6. Between the two identical bonds having different maturity periods, the price of the _____ bond will change less than that of _____ bond.

Options:

- A. short-term; long-term

- B. None of the given options

- C. long-term; short-term

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- D. lower-coupon; higher-coupon

Correct Answer: D (lower-coupon; higher-coupon)

7. Which of the following formula is used to calculate the price of a zero-growth stock?

Options:

- A. Po = Do (1+g) / R
- B. Po = D / R
- C. Po = Do(1+g) / (R – g)
- D. Po = D1 / (R – g)

Correct Answer: B (Po = D / R)

8. Which of the following is a characteristic of preferred stock?

Options:

- A. Dividends on these stocks can be cumulative
- B. These stocks have no priority over common stocks
- C. These bonds hold credit ratings quite different from bonds
- D. These stocks have no stated liquidating value

Correct Answer: A (Dividends on these stocks can be cumulative)

9. The principal amount of a bond at issue is called:

Options:

- A. Present value of an annuity
- B. Coupon value
- C. Coupon value
- D. Present value of a lump sum

Correct Answer: D (Present value of a lump sum)

10. Which of the following is a characteristic of preferred stock?

Options:

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- A. Dividends on these stocks can be cumulative
- B. These stocks have no priority over common stocks
- C. These bonds hold credit ratings quite different from bonds
- D. These stocks have no stated liquidating value

Correct Answer: A (Dividends on these stocks can be cumulative)

1. Which one of the following statements is INCORRECT regarding bonds?

- a) Bond with higher coupon rate is less sensitive to change in discount rate
- b) Bond with lower coupon rate is less sensitive to change in discount rate
- c) Bond with longer period is more sensitive to change in discount rate
- d) Bond with shorter period is less sensitive to change in discount rate
- Correct Answer: a) Bond with higher coupon rate is less sensitive to change in discount rate

2. Between the two identical bonds having different maturity periods, the price of the _____ bond will change less than that of _____ bond.

- a) lower-coupon; higher-coupon
- b) None of the given options
- c) short-term; long-term
- d) long-term; short-term
- Correct Answer: c) short-term; long-term

3. Which of the following short-term rating by PACRA denotes a strong capacity for timely repayment?

- a) A1
- b) A1+A3
- c) A2
- Correct Answer: a) A1

4. A bondholder has a right to redeem the bond at par on the coupon payment date after some specified period of time. This right is called:

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- a) Call option

- b) Put provision

- c) Call provision

- Correct Answer: c) Call provision

5. ABC Company issues 5-year bonds having the following characteristics: Rs. 1,000 face value, initial price Rs. 497, and yield to maturity is 15%. Bonds issued by ABC Company fall under which one of the following types of bonds?

- a) Government bonds

- b) Floating-rate bonds

- c) Zero coupon bonds

- d) Convertible bonds

- Correct Answer: c) Zero coupon bonds

6. What will be the value of a Rs. 1,000 face-value bond with an 8% coupon rate at an 8% required rate of return?

- a) More than its face value

- b) Cannot be determined without more information

- c) Equal to its face value

- d) Less than its face value

- Correct Answer: c) Equal to its face value

7. Which one of the following terms refers to a percentage change in the purchasing power of the investor?

- a) The inflation rate

- b) Real return

- c) Nominal return

- d) Un-adjusted inflation return

- Correct Answer: b) Real return

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8. Which of the following has the voting right in the firm?

- a) Bondholder
- b) Preferred shareholder
- c) Shareholder
- Correct Answer: c) Shareholder

9. All other things being equal, _____ time to maturity, _____ the interest rate risk.

- a) Shorter, Greater
- b) None of the given options
- c) Longer, Greater
- d) Longer, Smaller
- Correct Answer: c) Longer, Greater

10. When using the net present value (NPV) method for capital budgeting, a project is considered acceptable if the NPV is:

- a) Negative
- b) Positive
- c) Zero
- Correct Answer: b) Positive

MCQ 1:

Suppose you have just passed your Intermediate and now planning to get admission in some college for graduation. You have three choices of colleges A, B, and C. You bought the prospectuses for all these three colleges and finally got admission in College B. The cost incurred on the prospectuses of other two colleges A and C will be considered as:

- A) Fixed Cost
- B) Opportunity Cost

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C) Sunk Cost

D) None of the given options

Correct Option: C) Sunk Cost

MCQ 2:

Which one of the following is a non-cash item?

- A) Sales
- B) Purchases
- C) Depreciation
- D) Depreciation

Correct Option: C) Depreciation

MCQ 3:

A firm's capital structure may include which of the following?

- A) Common stocks
- B) All of the given options
- C) Preferred Stocks
- D) Bonds

Correct Option: B) All of the given options

MCQ 4:

Which one of the following is NOT considered under MACRS of depreciation?

- A) Salvage value
- B) Historical cost value
- C) Depreciable value
- D) Book value

Correct Option: A) Salvage value

MCQ 5:

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Standard deviations for Investment A and Investment B are 15% and 32% respectively. This indicates that:

- A) Investment B is less volatile than Investment A

- B) Investment A is equally volatile to Investment B

- C) Investment B is more volatile than Investment A

- D) Investment A is more volatile than Investment B

Correct Option: C) Investment B is more volatile than Investment A

MCQ 6:

The book value of a system is Rs. 35,500 at the end of year 4 of its life. What will be the total after-tax cash flow from sale if we sell this system for Rs. 20,000 at this time? (Tax rate is 35%) - A) Rs. 25,425 - B) Rs. 15,000 - C) Rs. 15,220

- D) Rs. 20,327

Correct Option: A) Rs. 25,425

MCQ 7:

Which one of the following formulas can be used to calculate Operating Cash Flow (OCF) under tax shield approach?

- A) OCF = (sales – cost) x (1 – tax rate) – (depreciation x tax rate)

- B) OCF = (sales + cost) x (1 – tax rate) + (depreciation x tax rate)

- C) OCF = (sales – cost) x (1 + tax rate) + (depreciation x tax rate)

- D) OCF = (sales – cost) x (1 – tax rate) + (depreciation x tax rate)

Correct Option: D) OCF = (sales – cost) x (1 – tax rate) + (depreciation x tax rate)

MCQ 8:

A project whose acceptance prevents the acceptance of one or more alternative projects is referred to as a(n):

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- A) Dependent project

  B) Independent project

  C) Contingent project

- D) Mutually exclusive project

Correct Option: D) Mutually exclusive project

MCQ 9:

While evaluating an investment project, which of the following cash flows should be considered?

- A) Operating cash flows

- B) Decremental cash flows

- C) Incremental cash flows

- D) Relevant cash flows

Correct Option: D) Relevant cash flows

MCQ 10:

If there is zero depreciation, taxes, and fixed cost of the project, the operating cash flows for the project would always be the same as:

- A) Future cash flows

- B) Net working capital

- C) EBIT

- D) None of the given options

Correct Option: C) EBIT

MCQ 1

- Option 1: Average accounting return equal to target average accounting return

- Option 2: Target average accounting return equal to average accounting return

- Option 3: Target average accounting return exceeds average accounting return

- Option 4: Average accounting return exceeds target average accounting return

- Correct Option: Average accounting return equal to target average accounting return

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MCQ 2

- Option 1: Payback Period
- Option 2: Profitability Index
- Option 3: Average Accounting Return
- Option 4: Net Present Value
- Correct Option: Average Accounting Return

MCQ 3

- Option 1: PI (Profitability Index)
- Option 2: IRR (Internal Rate of Return)
- Option 3: NPV (Net Present Value)
- Option 4: Payback period
- Correct Option: NPV (Net Present Value)

MCQ 4

- Option 1: IRR (Internal Rate of Return)
- Option 2: AAR (Average Accounting Return)
- Option 3: NPV (Net Present Value)
- Option 4: PI (Profitability Index)
- Correct Option: IRR (Internal Rate of Return)

MCQ 5

- Option 1: Cost of preferred stock
- Option 2: Cost of retained earnings
- Option 3: Cost of common equity

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- Option 4: Cost of debt

- Correct Option: Cost of debt

MCQ 6

Option 1: None of the given options

Option 2: An investment is acceptable if its AAR is less than a benchmark AAR

- Option 3: AAR is a rate that makes the NPV equal to zero

- Option 4: An investment is acceptable if its AAR is greater than a benchmark AAR

- Correct Option: An investment is acceptable if its AAR is greater than a benchmark AAR

MCQ 7

- Option 1: Internal Rate of Return (IRR)

- Option 2: Profitability Index (PI)

- Option 3: Net Present Value (NPV)

- Option 4: Average Accounting Return (AAR)

- Correct Option: Net Present Value (NPV)

MCQ 8

- Option 1: 6%

- Option 2: 9%

- Option 3: 15%

- Option 4: 24%

- Correct Option: 9%

MCQ 9

- Option 1: Unsystematic risk plus diversifiable risk

- Option 2: Systematic risk plus market risk

- Option 3: Systematic risk plus diversifiable risk

- Option 4: Systematic risk plus non-diversifiable risk

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- Correct Option: Systematic risk plus diversifiable risk

MCQ 10

- Option 1: Variable cost per unit

- Option 2: Selling price per unit

- Option 3: Administration cost per unit

- Option 4: Unit sales

- Correct Option: Unit sales

1. Preferred stock is a hybrid security because it possesses the features of both _____ and _____.

- A) Preferred stock; Debt

- B) Common stock; Treasury bills

- C) Treasury bills; Bonds

- D) Common stock; Debt

- Correct Option: A) Preferred stock; Debt

2. A project whose acceptance prevents the acceptance of one or more alternative projects is referred to as a(n):

- A) Independent project

- B) Contingent project - C) Dependent project

- D) Mutually exclusive project

- Correct Option: D) Mutually exclusive project

3. An investment will be _____ if the IRR doesn't exceed the required return and _____ otherwise.

- A) Rejected; accepted

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- B) Accepted; accepted
- C) Accepted; rejected
- D) Rejected; rejected
- Correct Option: A) Rejected; accepted

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4. For preparing pro forma financial statements, we need to estimate all of the following quantities EXCEPT:

- A) Unit sales

- B) Administration cost per unit

- C) Selling price per unit

- D) Variable cost per unit

- Correct Option: C) Selling price per unit

5. Which of the following refers to the use of borrowed money to increase the return on equity of an investment purchase?

- A) Financial Leverage

- B) Structural Leverage

- C) Operating Leverage

- D) None of the given options

- Correct Option: A) Financial Leverage

6. Which of the following is NOT a shortcoming of Payback Rule?

- A) It fails to consider risk differences

- B) Simple and easy to calculate

- C) Time value of money is ignored

- D) None of the given options

- Correct Option: D) None of the given options

7. Which of the following is the overall return the firm must earn on its existing assets to maintain the value of the stock?

- A) WACC (Weighted Average Cost of Capital)

- B) IRR (Internal Rate of Return)

- C) AAR (Average Accounting Return)

- D) MIRR (Modified Internal Rate of Return)

- Correct Option: A) WACC (Weighted Average Cost of Capital)

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8. The next dividend for a company is Rs. 6 per share. The stock current price is Rs. 57 per share. What will be the cost of capital if the dividends are estimated to grow steadily at 5%? - A) 15.53% - B) 14.22% - C) 13.07%

- D) 12.88%

- Correct Option: A) 15.53%

9. Which one of the following is a non-cash item?

- A) Purchases

- B) Sales

- C) Depreciation

- D) Inventory

- Correct Option: C) Depreciation

10. Variability of return means to which extent returns change around an ----------:

- A) Minimum Return

- B) Maximum Return

- C) Average Return

- D) Expected Return

- Correct Option: C) Average Return

1. Mr. Nadeem has bought 100 shares of a corporation one year ago at Rs. 22 per share. Over the last year, he received a dividend of Rs. 2.50 per share. At the end of the year, the stock sells for Rs. 28. What will be the capital gains yield?

Options:

A. 25.10%

B. 45.00%

C. 27.27% (Correct)

D. 15.85%

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2. While evaluating an investment project, which of the following cash flows should be considered?

Options:

A. Operating cash flows

B. Decremental cash flows

C. Relevant cash flows (Correct)

D. Incremental cash flows

3. Unsystematic Risk is also known as:

Options:

A. None of the given options

B. Diversifiable Risk (Correct)

C. Diversifiable Risk

D. Non-diversifiable Risk

4. The projected cash flows from a project are:

Year 1: Rs. 100

Year 2: Rs. 300

Year 3: Rs. 400

Year 4: Rs. 800

The Project cost is Rs. 800. What would be the payback period for the project?

Options:

A. 3.00 Years (Correct)

B. 3.67 Years

C. 2.67 Years

D. 2.00 Years

5. Which of the following capital budgeting technique is used by the financial management to increase the share value of the company?

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Options:

A. Payback period

B. NPV

C. PI

D. IRR (Correct)

6. Which of the following best describes dividend yield?

Options:

A. It tells that how much tax is paid for each unit invested in a company's shares

B. It tells that how much tax is paid on each unit deposited in a broker account

C. It tells that how much interest is earned on each unit deposited in a broker account

D. It tells that how much income is earned for each unit invested in a company's shares (Correct)

7. Which of the following is NOT a shortcoming of Payback Rule?

Options:

A. None of the given options

B. Simple and easy to calculate

C. It fails to consider risk differences

D. Time value of money is ignored (Correct)

8. Standard deviations for Investment A and Investment B are 15% and 32% respectively. This indicates that:

Options:

A. Investment A is more volatile than Investment B (Correct)

B. Investment B is more volatile than Investment A

C. Investment B is less volatile than Investment A

D. Investment A is equally volatile to Investment B

9. A project whose acceptance prevents the acceptance of one or more alternative projects is referred to as a(n):

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Options:

A. Contingent project

B. Mutually exclusive project (Correct)

C. Independent project

D. Dependent project

10. Which of the following rate makes the Net Present Value (NPV) equal to zero?

Options:

A. Average Accounting Return (AAR)

B. Required Rate of Return (RRR)

C. Weighted Average Cost of Capital (WACC)

D. Internal Rate of Return (IRR) (Correct)

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